Matrix Global Fixed Income Hedge

Fund Fact Sheet - 31 January 2025

Investor Profile

The Fund is suitable for investors seeking potential portfolio diversification benefits from uncorrelated hedge fund returns. Investors should have a long term investment horizon and understand the risks associated to being invested in a hedge fund.

Investment Objective and Policy

The Fund's investment objective is to achieve net annualised returns that exceed USD cash returns by 5% per annum over rolling 36 months, net of all fees and costs at a level of volatility commensurate with the return target.

Long term investment performance should be maximised with due regard to the relevant risks including volatility of returns, risk of capital loss and the risk of negative real returns.

Risk Profile

This Fund has an aggressive risk profile.

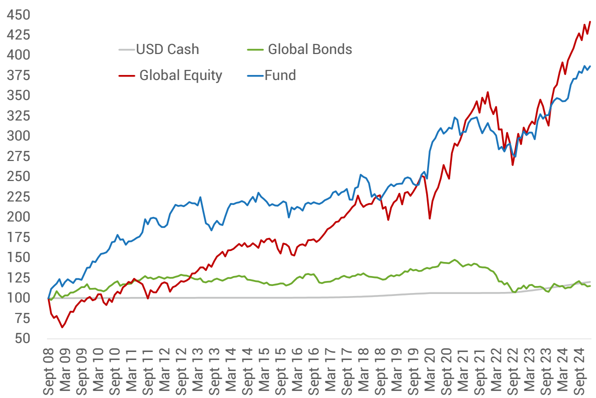
Investment Process

The Fund aims to achieve its investment objective through anticipating changes in the shape of gobal bond and interest rate derivative yield curves. To implement the strategy, the Fund will hold a number of relative value and outright long and short positions across fixed income, interest rate derivatives, currency and currency derivative markets.

Past Performance

Performance prior to May 2021 is based on the Matrix Sanlam Collective Iinvestments Fixed Income Retail Hedge Fund that is domiciled in South Africa and denominated in ZAR. USD and ZAR interest rate differentials were deducted from the ZAR track record to show USD hedged equivalent returns.

Net Fund Performance[1]



Returns[2] (%)	Fund	Bonds[3]	Equity[4]	Cash[5]
Year to Date	1.2	0.5	3.5	0.4
Latest 1 Year	11.3	-0.9	21.4	5.3
Latest 3 Years	7.9	-5.0	9.5	4.1
Latest 5 Years	8.6	-3.3	12.1	2.5
Since Inception	8.6	0.9	9.5	1.1
Lowest 12 Month	-14.1	-22.2	-19.6	0.0
Highest 12 Month	38.5	16.3	54.3	5.5

Risk measures	Fund	Bonds[3]	Equity[4]	Cash[5]
Month End 95% 1D VaR[7]	-1.0%	N/A	N/A	N/A
SI correlation	1.00	0.36	0.01	0.07
SI std dev pa (%)	10.9	6.8	16.2	0.5
SI Sharpe Ratio	0.69	-0.04	0.52	0.00

Fund Information	Class RR
Domicile	Cayman Islands
Portfolio Structure	Segregated Portfolio
Fund Size	USD7.8 million
Inception Date	1 May 2021
Subscriptions	Monthly
Total Strategy Size[6]	USD300 million
Minimum Lump Sum Investment	USD100 000
Minimum Subsequent Investment	USD50 000
Redemptions	1 calendar month
Auditors	Deloitte
ISIN	KYG827793756
Base Currency	USD
Annual Management Fee	1.25% per annum
Annual Performance Fee[8]	20% per annum
Lead Series NAV Per Share	126.56

Investment Advisor Commentary

Disclosure: Any forecasts or market commentary, whether express or implied, are not guaranteed to occur and may change without notification at any time after publication.

January was a volatile month, filled with global and local market-moving events. Apart from the SARB and FOMC meetings, Donald Trump was inaugurated as US President on January 20th; the World Economic Forum (WEF) annual meeting was hosted in Davos from 20 to 24 January; DeepSeek was released, disrupting US tech stocks and the future of the industry; and SA's President signed the Expropriation Act, providing the Government of National Unity's (GNU) with a second test of its unity after the BELA Bill.

The FOMC met at the end of January and announced its decision to keep the Fed Funds Rate (FFR) on hold at 4.5%. Despite the Fed's decision, the SARB's MPC, which met the following day, cut SA's policy rate by 25bp to 7.50%. The SARB's decision was accompanied by a decidedly hawkish statement, which was underscored by the five-member committee's split vote, with two members voting to keep the rate on hold. The MPC advocated for caution in the face of global uncertainty and our expectation is that a further cut in March should not be taken for granted.

Although we expect the SARB's decisions to be asymmetric, in favour of keeping rates in restrictive rather than accommodative territory, ultimately monetary policy will be based on inflation and the exchange rate. SA inflation is likely to benefit from two technical factors announced in January. Firstly, Stats SA reweighted the CPI index, which everything else equal lowers headline CPI by 9bp and core CPI by 14bp. Secondly, NERSA granted Eskom an electricity price increase of 12.7% for FY26 (vs. an application of 36.1%), 5.36% (11.8%) for FY27 and 6.2% (9.1%) for FY28. Our CPI forecast for 2025 is now 3.5% on average, ending the year at 4.2% and reaching a low of 3.0% in May, assuming the USD/ZAR averages 18.50 and oil $80/bbl.

Statements made by US President Trump regarding South Africa's Expropriation Act have heightened geopolitical tensions between the US and SA and unnerved investors. South Africa could stand to lose its AGOA membership, worth $14.5bn in exports. However, the most significant implication to the country could be from the US leveraging SA's FATF's grey listing to intervene in SA's international financial transactions.

The FATF put South Africa under a one-year observation period in October 2021, giving the country time to address 67 Recommended Actions. South Africa made significant progress during the observation period, and in October 2024 was deemed to have addressed 16 of the 22 items in its Action Plan with 6 to be addressed in its last scheduled reporting cycle, concluding in February 2025. "Three of these relate to demonstrating a sustained increase in the investigation and prosecution of complex money laundering, terror financing and unlicensed cross-border money or value transfer services (MVTS). The remaining three relate to the timely access of beneficial ownership information in respect of companies and trusts, and the imposition of remedial action and dissuasive sanctions by designated AML/CFT supervisors." If the FATF assesses that items have not adequately been addressed, the exit from grey listing will be moved from June 2025 to October 2025, or later.

Market performance

Most asset classes provided positive returns in January. Global equity markets rallied +3.2% in January in USD terms (up +18.0% over the past 12 months). Emerging equity markets were up +1.7% over the month (up +12.0% over the past 12 months). South African equities outperformed, ending the month up +2.6% in ZAR (up +19.7% over 12 months), with an equivalent USD return of +3.8% over the month as the USD weakened against the ZAR.

Domestically, the SA money market returned +0.7% in January (+8.3% over 12 months). The SA bond market ended up +0.4% (up +16.9 over 12 months). This positive bond return was despite the South African yield curve rising around 30bp with the R2035 reaching 10.70%. The World Government Bond Index was up +0.5% in January in USD (down -0.9% over the past 12 months). The SA listed property index was down -2.3% in January (up +21.0% over 12 months).

Portfolio performance and positioning

The Fund produced USD performance of +1.2% in January after fees. The Fund is up +11.3% over the past 12 months, exceeding its cash +5% investment objective.

The year began with a cautious stance toward core fixed income and rate cut expectations. US Treasury yields remained largely unchanged by the end of January, with the 10-year closing at 4.55% and the 2-year at 4.25%, despite experiencing intra-month volatility of 20–30 bps to the upside.

The South African interest rate curve followed a similar pattern, with FRAs ending approximately 10 bps higher after having widened by 25 bps intra-month. The 5-year vs. R2030 spread narrowed slightly to 127 bps, while the forward curve (1y1y vs 3y2y) flattened by about 10 bps.

The SARB delivered a measured 25 bps rate cut in January, with a split vote of 4-2, reflecting its cautious stance. While the benign inflation outlook suggests room for further easing, the SARB remains risk-focused. A pause at the March MPC meeting seems likely, allowing time to assess global inflation risks from tariff adjustments and South Africa's deteriorating diplomatic ties with the US.

We maintain a flattening bias in the portfolio, recognizing subdued inflation but a conservative monetary policy response. The key risk to this view remains elevated SA-specific risks, including potential disruptions to foreign portfolio flows amid heightened US-SA tensions.

January performance was primarily driven by a flattening of the forward curve and opportunistic trading, where we entered receiver positions near intra-month yield peaks.

We continue to assess market developments closely and remain tactically positioned to navigate evolving risks and opportunities.

Matrix Global Fixed Income Hedge

Fund Fact Sheet - 31 January 2025

Calendar Year Performance (%) [1]

Year	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD
2025	1.2												**1.2**
2024	0.9	-0.3	-0.8	0.1	1.0	4.8	2.0	0.1	2.4	-0.5	2.3	-1.3	**11.0**
2023	2.8	-1.6	1.1	0.0	-2.7	7.5	2.7	-1.7	1.3	0.1	3.8	1.6	**15.5**
2022	-2.7	-0.7	-1.5	-5.7	1.1	-2.0	2.7	0.7	-4.5	-1.1	8.3	0.1	**-5.8**
2021	-0.9	-5.9	1.4	-0.1	3.6	1.5	0.3	0.3	-3.4	-2.8	2.2	2.0	**-2.1**
2020	1.5	-3.3	13.7	4.0	1.6	2.7	1.5	-2.2	0.9	1.5	-0.5	4.5	**28.0**
2019	1.3	-1.0	1.1	0.2	0.0	2.6	0.6	-0.5	-2.6	-0.8	0.4	5.1	**6.3**
2018	0.7	6.4	-1.1	-0.7	-2.4	-7.0	1.5	-2.3	-1.1	2.7	2.3	2.3	**0.7**
2017	1.3	0.7	0.9	2.7	0.7	-2.1	1.5	0.5	1.3	-5.6	-0.1	6.5	**8.2**
2016	6.3	-1.2	1.5	-0.7	-1.5	3.9	0.8	-0.8	0.9	-0.6	-0.4	0.8	**9.2**
2015	5.2	-2.1	-1.3	-1.5	-2.2	0.9	-0.8	-0.2	1.2	1.2	-0.7	-8.4	**-8.8**
2014	5.5	4.9	2.8	-0.1	0.7	0.4	0.7	-0.7	-1.7	2.8	2.0	-2.8	**15.0**
2013	-0.7	-0.1	-1.1	4.8	-7.5	-7.5	-1.0	-3.5	4.1	2.3	-2.2	-0.5	**-13.0**
2012	-3.7	-1.6	0.0	1.5	6.9	2.7	2.7	-0.7	0.4	-0.5	1.1	1.4	**10.3**
2011	-3.9	2.5	0.1	1.2	1.3	0.9	3.0	8.9	-3.2	3.8	0.4	-0.6	**14.8**
2010	5.5	-0.6	3.8	3.1	0.4	0.8	2.8	5.0	0.5	4.8	-3.4	0.3	**25.2**
2009	4.6	-7.4	4.8	2.9	-1.9	-1.9	4.2	-0.1	-0.8	6.2	5.6	0.2	**16.7**
2008										11.7	3.1	2.7	**18.3**

Footnotes

1. Performance is based on monthly returns after fees. Returns prior to May 2021 are pro forma USD hedged and based on the actual performance of the Matrix Sanlam Collective Investments Fixed Income Retail Hedge Fund that is denominated in ZAR and domiciled in South Africa.
   USD and ZAR interest rate differentials were deducted from the ZAR track record to show USD hedged equivalent returns.
2. All returns for periods greater than 12 months are annualised
3. FTSE World Government Bond Index (WGBI) USD
4. MSCI World Net return USD Index
5. Bloomberg Barclays US Treasury Bills: 1 - 3 months
6. Includes all similar mandates advised on or managed by the Investment Advisor
7. VaR (Value-at-Risk) is a measure of the possible loss that could arise in the current portfolio over one month, based on 2000 days of historical data. The fund has a 95% 1 Day VaR limit of -3%
8. Performance fees are subject to a high water mark and crystalize at the end of every calendar year

Matrix Global Fixed Income Hedge

Fund Fact Sheet - 31 January 2025

Important information

Investment Manager

South Africa Alpha Capital Management is the investment manager domiciled in Bermuda. Directors: Robert Katz; Lilla Zuill. Address: 12 Church Street, Hamilton, Bermuda, HM11. Contact details: info@sa-alpha.com

Investment Advisor

Matrix Fund Managers Proprietary Limited (the 'investment advisor') (Registration No: 2007/028504/07) is an authorised financial services provider under the Financial Advisory and Intermediary Services Act - FSP No: 44663. Contact details: Postnet Suite 80, Private Bag X1005, Claremont, 7735, South Africa. Telephone: +27 21 673 7800, Email: info@matrixfm.co.za and Website: www.matrixfundmanagers.co.za. Matrix Fund Managers is supervised by the South African Financial Sector Conduct Authority (FSCA) and is a member of the Association for Savings and Investment South Africa (ASISA).

South Africa Alpha SPC

South Africa Alpha SPC is a Cayman Islands exempted company registered as a segregated portfolio company. The Matrix Global Fixed Income Hedge Segregated Portfolio is a Segregated Portfolio on the South Africa Alpha SPC.

Complaints and Conflicts of Interest

As described in the Memorandum as read with this Explanatory Appendix, there are certain actual and potential conflicts of interest that should be considered by prospective investors before subscribing for Shares. These include that the Directors, the Investment Manager, the Investment Advisor, their members, principals, managers, affiliates and employees may engage in other activities, including providing professional services or investment management and advisory services to other accounts, and shall not be required to refrain from any activity, to disgorge profits from any such activity or to devote all or any particular amount of time or effort of any of their officers, directors or employees to the Portfolio and its affairs. Any such accounts may include other funds that may have the same or similar investment objectives as the Portfolio. Although each of the Investment Manager and the Investment Advisor will act in a manner that it considers fair, reasonable and equitable in allocating investment opportunities to the Portfolio, it otherwise is not restricted in the nature or timing of investments for the Portfolio and other accounts and may average the prices paid or received in connection with such investments.

Prime Broker

Absa Capital Securities. Physical Address: 15 Alice Lane, Sandon, Johannesburg, 2146, South Africa. Website: www.cib.absa.africa.com. ABSA Capital Securities is regulated under the Banks Act under the jurisdiction of the SA Reserve Bank (Prudential Authority).

Fund Administration

Apex Group South Africa Limited. Registration number: 1981/009543/06. Physical address: Maitland House 1, River Park, Gloucester Road, Mowbray, Cape Town 7700, South Africa. Tel. number: 021 681 8000.

Auditor

The Fund has retained Deloitte & Touche in the Cayman Islands as its independent auditor. The fiscal year end for the Fund is 31 March.

Unit Prices

Unit prices are calculated on a net asset value basis, which is the total market value of all assets in the Fund including any income accruals and less any permissible deductions from the Fund divided by the number of participatory interests (units) in issue. Forward pricing is used and fund valuations take place at the end of the last business day of each month. Subscriptions requests must be received by the Administrator by 14h00 two business day prior to the month ends, with proof of payment submitted before 14h00 on the last business day of the month, in order to receive that month's price. Redemption notices must be received by the Administrator within one calendar month of the applicable redemption date.

Additional Information

Additional information about the Fund may be obtained free of charge from the investment advisor or manager.

Disclaimer

No assurance can be given that the investors will realise a profit on their investment. Moreover, investors may lose some or all of their investment. The risks referred to in this disclaimer are not exhaustive. They relate to investment in the Portfolio, the investment activities of the Portfolio and the underlying funds and investments in which the Portfolio may invest or to which the Portfolio may be exposed. The information herein does not consequently constitute an offer, or an invitation to purchase shares attributable to the Portfolio, nor does the information herein constitute a recommendation to enter into any transaction in relation to the Portfolio. You are privy to this information in our capacity as a potential counterparty acting at arm's length. We are not acting as your financial adviser or in a fiduciary capacity in respect of any investment by you in the Portfolio or any other transaction with you unless otherwise expressly agreed by us in writing. Potential investors should review the Private Placement Memorandum of South Africa Alpha SPC along with the Explanatory Appendix of the Portfolio carefully and in its entirety and consult with their professional advisors before making an application for shares attributable to the Portfolio. The Portfolio's past investment performance may not be construed as an indication of the future results of an investment in the Portfolio. Investments in the Portfolio are generally medium to long term investments. The value of shares attributable to the Portfolio may go down as well as up and past performance is not necessarily a guide to future performance. Investments are traded at ruling prices and can engage in scrip lending. Forward pricing is used. Commission and incentives may be paid and if so, are included in the overall cost. Fluctuation or movements in exchange rates may cause the value of the underlying investments to go up or down. Share prices are calculated on a net asset value basis and brokerage, marketable securities, tax, auditor's fees, amongst others, may be levied against the Portfolio. References to the Portfolio in this document shall, where the context requires, be deemed to refer to South Africa Alpha SPC on behalf of and for the account of the Portfolio.